

Exercise A1 | ECON 0100 | Fall 2026

One of Hagrid's unknown skills is that he's great in the kitchen. He can bake 20 rock cakes (R) or 30 fruitcakes (F) in one day. Set up Hagrid's PPF on an x, y graph with rock cakes (R) on the vertical and fruitcakes (F) on the horizontal.

Q1 | Hagrid's PPF

What is Hagrid's opportunity cost of each good?

Opportunity cost of 1R: _____

Opportunity cost of 1F: _____

Q2 | Feasibility

Hagrid wants to bake 30R AND 20F in one day. Is this inefficient, efficient, or unattainable? Use a graph or algebra to justify your answer.

Inefficient, Efficient, Unattainable: _____

Q3 | Dynamics

It turns out Hagrid wants to slow down his baking work, and cuts his time in half. Right after, the baking industry goes through a minor revolution and improves the efficiency of everyone's baking by a factor of 2. Show both changes to his PPF.